

**Department of Finance
Olin Business School
Washington University in St. Louis
Research Methods in Finance
Stata Group Assignment 2**

1. Download monthly return data for decile portfolios formed from a characteristic from **Ken French's Data Library**. (Please do not use the decile portfolios from the in-class **Stata** applications.) Also download monthly data for the market excess return and risk-free return.
2. Compute the monthly excess return for each decile portfolio.
3. Estimate a CAPM regression for each decile portfolio excess return. Report the results (coefficient estimates, standard errors, t -statistics, R^2 statistics) in a table. Discuss the results.
4. Test $H_0: \beta_1 = 1$ vs. $H_1: \beta_1 \neq 1$ for each decile portfolio. Discuss the results. Specifically, indicate whether there is evidence that a given portfolio is “cyclical” or “defensive.”
5. Provide the **Stata** code in an appendix.